

BEFORE Placeholder

AFTER

Contract Clauses — Sub-Processors & Outsourcing (Template Library)

Document classification: Internal template (for contracts)

Template owner: Legal Counsel (terms) / DPO/Privacy Officer (privacy) / Security Engineering (security)

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Effective date: _____

Note: Select clauses proportionate to supplier tier and whether personal data is processed. Use as modular clauses or as a section in a Security Schedule / DPA.

A) Definitions (optional)

A1 — Sub-processor “Sub-processor” means any third party engaged by Supplier that processes Customer data and/or provides material services used to deliver the Services.

A2 — Material sub-processor A “Material Sub-processor” is a Sub-processor whose failure or compromise could materially impact confidentiality, integrity, availability, or compliance obligations for the Services.

B) Sub-processor transparency (baseline)

B1 — Sub-processor list Supplier shall maintain and make available to Customer an up-to-date list of Sub-processors used to deliver the Services, including the Sub-processor name, service function, and processing location(s) where applicable.

B2 — Accuracy and updates Supplier shall keep the sub-processor list current and notify Customer of material changes in accordance with Section C.

C) Change notification and approval (tiered)

C1 — Notification of changes (Critical default) Supplier shall provide Customer with at least **30 days'** prior notice of the addition or replacement of any Material Sub-processor used to deliver the Services, where practicable. Where prior notice is not practicable, Supplier shall notify Customer without undue delay.

C2 — Notification content Notifications shall include:

- Sub-processor name and function
- processing location(s) (where applicable)
- high-level description of material changes to data flows or service delivery

C3 — Customer objection right (privacy and risk) Customer may object to the appointment of a new Material Sub-processor on reasonable grounds relating to security, privacy, or regulatory risk within [] days of notification. The parties shall cooperate in good faith to address the objection, which may include:

- Supplier providing additional assurance evidence, and/or
- Supplier offering an alternative Sub-processor, and/or
- Customer terminating the affected Services in accordance with the Agreement (where unresolved).

(For Important/Low tiers, this may be limited to "notice" rather than objection, depending on scope.)

D) Flow-down obligations (non-negotiable for Critical)

D1 — Flow-down of obligations Supplier shall ensure that all Sub-processors are bound by written obligations that are no less protective than the obligations applicable to Supplier under the Agreement, including:

- confidentiality
- security controls appropriate to the Services
- incident notification and cooperation
- data return/deletion on termination
- sub-processor restrictions and transparency (where applicable)

D2 — Responsibility Supplier remains fully responsible for the performance and compliance of Sub-processors and for any acts or omissions of Sub-processors.

E) Security and assurance for sub-processors (Critical recommended)

E1 — Sub-processor due diligence Supplier shall perform and maintain due diligence over Material Sub-processors proportionate to risk and shall provide, upon request, reasonable evidence of such due diligence relevant to the Services.

E2 — Incident notification flow-up Supplier shall ensure Sub-processors promptly notify Supplier of incidents affecting the Services and/or Customer data, and Supplier shall notify Customer in accordance with the Agreement's incident notification requirements.

F) Processing location and transfers (privacy-led, where applicable)

F1 — Processing locations Supplier shall disclose the processing locations (countries/regions) for Customer personal data and shall notify Customer of material location changes affecting the Services.

F2 — International transfers Where personal data is transferred outside the United Kingdom/EEA (as applicable), Supplier shall ensure appropriate transfer safeguards are in place and provide relevant details upon request, consistent with the DPA.

G) Termination/offboarding alignment (flow-down)

G1 — Sub-processor deletion/return Supplier shall ensure Sub-processors return and/or securely delete Customer data upon termination/expiry of the Services in accordance with Customer instructions and contractual obligations, and shall provide confirmation upon request.

H) Tier guidance (selection)

Critical (Tier 1) recommended minimum set:

- B1–B2
- C1–C3 (notification + objection right)
- D1–D2 (flow-down + responsibility)
- E1–E2 (assurance + incident flow-up)
- F1–F2 where personal data is in scope
- G1 (sub-processor deletion/return)

Important (Tier 2) recommended set (proportionate):

- B1–B2
- C1 (notice; objection right optional based on scope)
- D1–D2
- E2
- F1–F2 where personal data is in scope
- G1 where data is stored/processed

Low (Tier 3) proportionate set:

- B1 (on request) + D2
 - E2 (basic incident flow-up) where relevant
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I) Practical fallback positions (if supplier pushes back)

If supplier refuses prior notice or objection rights:

- require at minimum: current sub-processor list + post-change notification + incident flow-up + flow-down obligations
- tighten other controls (e.g., reduce scope of personal data, avoid privileged access, restrict integrations)
- escalate for residual risk acceptance for Critical suppliers